Settlement Memorandum — Privileged and Confidential

Ashgrove Industries v. Merridew Kestrel Holdings

The parties have agreed in principle to resolve all outstanding claims for a total consideration of 4,750,000 dollars, of which 18.5% shall be retained in escrow until the conditions described below have been satisfied in full. This memorandum is privileged and is not to be circulated outside the working group before 2026-11-14.

Each party shall indemnify the other against any claim arising from the escrow account, and shall submit every remaining dispute to binding arbitration rather than to a court of first instance. Kestrel Holdings accepts no liability for the cost of that arbitration, and nothing in this memorandum constitutes an admission by Ashgrove Industries or by any of its officers.

The remaining schedules are annexed and form part of this agreement. They restate the payment timetable, the conditions attaching to release from escrow, and the notice provisions that apply if either party wishes to withdraw before the date given above. Counsel should read them together with the covering note.